

Vanguard International Semiconductor Co

Healthy power IC demand supports 8" pricing inflection at compelling valuation

Reiterate Rating: BUY | PO: 210.00 TWD | Price: 157.00 TWD

Favorable 8" landscape lifts utilization and pricing outlook

We update our mature foundry supply/demand model, with the discussion on the mature 12" utilization and pricing outlook [in our UMC note](#). For 8", we see the landscape in the past quarter has been turning even more favorable led by demand strength from power IC backlog on higher server/automotive content across IDM outsourcing and fabless. The 8" supply is also on track to decline 7%/2% in '26/'27 due to TSMC and Samsung's equipment retirement along with effective capacity loss from Vanguard and Powerchip on business upgrade, lifting industry utilization from 81% in '25 to 87%/91% in '26/'27.

PMIC demand strength solidifies GMs even with 12" ramp

With Vanguard's 75% sales from power ICs, we estimate its 8" utilization trended better than the industry to ~85% in 2Q26 with sales +14% QoQ. We expect the momentum to sustain in 3Q26 for another +10% QoQ in sales backed by continued shipment growth, modest price hike and favorable FX. On more benign 8" landscape, its utilization could reach ~90%/95%+ by 4Q26/4Q27 in our base case, allowing 3-5% QoQ for inflationary cost pass through in 2H26 and further strength in '27 as the bargaining power shifts to foundries on tighter 8" BCD process supply. Factoring in 5%/11% YoY 8" price hike in 4Q26/4Q27 and 13% incremental sales from mature 12" nodes in '27, we expect Vanguard's sales to grow 47% YoY in '27, sufficient to offset a 51% depreciation hike from its Singapore fab ramp and sustaining GMs upward trend to 36%/39% in '27/'28.

Strong 8" pricing underestimated at attractive valuation

On structurally better 8" supply/demand more than offsetting the burden from the initial 12" cost, we lift our '27/'28 EPS from NT\$9.97/NT\$10.46 to NT\$10.60/NT\$14.50. We keep our Buy rating and lift PO from NT\$180 to NT\$210 now based on 20x 2027 P/E (vs. its 10-32x range and was 18x P/E) on better 8" pricing/UTR outlook. Our earnings estimate is 12-61% higher than street as we believe strong pricing power on 8" is underappreciated and has upside if it secures more TSMC's 2nd hand equipment.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	7,046	7,908	12,230	19,791	27,080
EPS	4.21	4.30	6.55	10.60	14.50
EPS Change (YoY)	-6.4%	2.2%	52.3%	61.8%	36.8%
Dividend / Share	4.50	4.50	4.50	4.50	4.50
Free Cash Flow / Share	5.27	(20.57)	(14.57)	6.49	12.40
Valuation (Dec)					
P/E	37.31x	36.51x	23.97x	14.81x	10.82x
Dividend Yield	2.87%	2.87%	2.87%	2.87%	2.87%
EV / EBITDA*	24.65x	23.66x	17.27x	10.68x	8.24x
Free Cash Flow Yield*	2.99%	-12.82%	-9.22%	4.11%	7.85%

* For full definitions of *IQmethod*SM measures, see page 7.

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 5. Price

28 July 2026

Equity

Key Changes

(NT\$)	Previous	Current
Price Obj.	180.00	210.00
2026E EPS	6.72	6.55
2027E EPS	9.97	10.60
2028E EPS	10.46	14.50
2026E EBITDA (m)	22,764.9	22,233.5
2027E EBITDA (m)	33,914.5	35,968.6
2028E EBITDA (m)	38,724.9	46,586.3

Haas Liu >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3727
haas.liu@bofa.com

Mike Yang >>
Research Analyst
Merrill Lynch (Taiwan)
mike.c.yang@bofa.com

Cathy Hsu >>
Research Analyst
Merrill Lynch (Taiwan)
cathy.hsu3@bofa.com

Stock Data

Price	157.00 TWD
Price Objective	210.00 TWD
Date Established	28-Jul-2026
Investment Opinion	C-1-7
52-Week Range	87.60 TWD-223.00 TWD
Mrkt Val / Shares Out (mn)	9,094 USD / 1,879.6
Market Value (mn)	295,092 TWD
Average Daily Value (mn)	156.66 USD
Free Float	61.4%
BofA Ticker / Exchange	VGILF / TWO
Bloomberg / Reuters	5347 TT / 5347.TWO
ROE (2026E)	19.2%
Net Dbt to Eqty (Dec-2025A)	-40.8%

IC: Integrated Circuit

IDM: Integrated Device Manufacturer

BCD: Bipolar - CMOS - DMOS

UTR: utilization

iQprofileSM Vanguard International Semiconductor Co

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT\$ Millions)					
Sales	44,055	48,591	59,462	87,157	106,212
Gross Profit	11,933	13,654	19,455	31,330	41,316
Sell General & Admin Expense	(2,740)	(3,691)	(4,380)	(6,398)	(7,452)
Operating Profit	7,111	7,773	12,332	20,924	29,197
Net Interest & Other Income	1,670	1,581	1,422	1,423	1,496
Associates	(29)	(104)	(26)	0	0
Pretax Income	8,752	9,251	13,728	22,347	30,693
Tax (expense) / Benefit	(1,705)	(1,480)	(1,933)	(3,261)	(4,580)
Net Income (Adjusted)	7,046	7,908	12,230	19,791	27,080
Average Fully Diluted Shares Outstanding	1,675	1,839	1,867	1,867	1,867

Key Cash Flow Statement Data					
Net Income	7,046	7,908	12,230	19,791	27,080
Depreciation & Amortization	8,467	8,458	9,902	15,044	17,389
Change in Working Capital	(1,958)	(2,465)	(4,194)	(5,385)	(3,647)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	11,176	11,539	6,861	(2,128)	(2,464)
Cash Flow from Operations	24,731	25,439	24,799	27,323	38,359
Capital Expenditure	(15,909)	(63,265)	(52,000)	(15,200)	(15,200)
(Acquisition) / Disposal of Investments	3,641	1,118	327	0	0
Other Cash Inflow / (Outflow)	570	2,436	(94)	0	0
Cash Flow from Investing	(11,699)	(59,711)	(51,767)	(15,200)	(15,200)
Shares Issue / (Repurchase)	17,593	0	0	0	0
Cost of Dividends Paid	NA	NA	NA	NA	NA
Cash Flow from Financing	17,530	13,460	32,203	(8,402)	(8,402)
Free Cash Flow	8,822	(37,826)	(27,201)	12,123	23,159
Net Debt	(64,793)	(34,122)	(20,491)	(24,246)	(39,008)
Change in Net Debt	(27,857)	28,579	28,292	(3,721)	(14,757)

Key Balance Sheet Data					
Property, Plant & Equipment	44,141	113,869	147,917	149,122	148,029
Other Non-Current Assets	18,353	19,702	19,588	19,618	19,619
Trade Receivables	6,235	6,748	9,338	12,796	15,255
Cash & Equivalents	66,749	41,716	47,238	50,993	65,755
Other Current Assets	13,227	18,433	18,472	21,091	22,882
Total Assets	148,706	200,469	242,553	253,620	271,541
Long-Term Debt	1,710	1,837	24,299	24,299	24,299
Other Non-Current Liabilities	56,953	63,438	83,455	79,978	80,332
Short-Term Debt	245	5,757	2,448	2,448	2,448
Other Current Liabilities	21,130	45,847	42,714	42,686	43,123
Total Liabilities	80,039	116,879	152,916	149,411	150,202
Total Equity	68,667	83,590	89,637	104,209	121,339
Total Equity & Liabilities	148,706	200,469	242,553	253,620	271,541

iQmethod SM - Bus Performance*					
Return On Capital Employed	7.0%	5.7%	6.7%	9.4%	11.9%
Return On Equity	12.8%	12.4%	19.2%	27.7%	30.8%
Operating Margin	16.1%	16.0%	20.7%	24.0%	27.5%
EBITDA Margin	35.4%	33.4%	37.4%	41.3%	43.9%

iQmethod SM - Quality of Earnings*					
Cash Realization Ratio	3.5x	3.2x	2.0x	1.4x	1.4x
Asset Replacement Ratio	1.9x	7.5x	5.3x	1.0x	0.9x
Tax Rate (Reported)	19.5%	16.0%	14.1%	14.6%	14.9%
Net Debt-to-Equity Ratio	-94.4%	-40.8%	-22.9%	-23.3%	-32.1%
Interest Cover	20.4x	22.9x	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

Semiconductors

Company Description

Vanguard International Semiconductor Co (Vanguard) is a pure 8-inch foundry headquartered in Hsinchu, Taiwan. The company has five fabs, one of which is located in Singapore. Collectively, the capacity is about 280k wpm currently, and the company focuses on fabricating power semiconductors and driver IC for both IDM (integrated device manufacturers) and fabless customers.

Investment Rationale

We have a Buy rating on Vanguard as we expect an improvement in the overall 8" foundry supply/demand landscape from TSMC's retirement of some legacy capacity and limited new industry capacity additions. Higher utilization and pricing upcycle in 8", coupled with enhanced mix from share gain in Power IC, should support sales and gross margin expansion.

Stock Data

Price to Book Value

4.6x

Focus charts and tables

Exhibit 1: Vanguard 2Q26-3Q26 and 2026-27 estimates BofAe vs. street

Our EPS estimates for '26/27 is now NT\$6.55/10.60

	2Q26E			3Q26E			2026E			2027E		
	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street
Sales (NT\$m)	\$14,245	\$14,438	\$14,455	\$15,671	\$16,333	\$15,486	\$59,462	\$60,227	\$58,283	\$87,157	\$80,662	\$73,705
Sales QoQ / YoY (%)	13.7%	15.2%	15.3%	10.0%	13.1%	7.1%	22.4%	23.9%	19.9%	46.6%	33.9%	26.5%
Gross profit (NT\$m)	\$4,606	\$4,642	\$4,662	\$5,304	\$5,610	\$5,073	\$19,455	\$20,087	\$18,525	\$31,330	\$29,371	\$22,428
GMs (%)	32.3%	32.2%	32.3%	33.8%	34.3%	32.8%	32.7%	33.4%	31.8%	35.9%	36.4%	30.4%
Operating profit (NT\$m)	\$2,910	\$2,947	\$2,911	\$3,456	\$3,814	\$3,259	\$12,332	\$13,143	\$11,668	\$20,924	\$20,272	\$14,689
OpMs (%)	20.4%	20.4%	20.1%	22.1%	23.3%	21.0%	20.7%	21.8%	20.0%	24.0%	25.1%	19.9%
Pretax profit (NT\$m)	\$3,273	\$3,295	\$3,218	\$3,805	\$4,146	\$3,520	\$13,728	\$14,499	\$12,920	\$22,347	\$21,630	\$15,837
Pretax margins (%)	23.0%	22.8%	22.3%	24.3%	25.4%	22.7%	23.1%	24.1%	22.2%	25.6%	26.8%	21.5%
Tax expense (NT\$m)	-\$412	-\$414	-\$355	-\$393	-\$428	-\$602	-\$1,498	-\$1,582	-\$1,906	-\$2,556	-\$2,463	-\$2,741
Tax rate (%)	12.6%	12.6%	11.0%	10.3%	10.3%	17.1%	10.9%	10.9%	14.8%	11.4%	11.4%	17.3%
Net profit (NT\$m)	\$2,861	\$2,881	\$2,863	\$3,412	\$3,718	\$2,919	\$12,230	\$12,917	\$11,014	\$19,791	\$19,168	\$13,095
Net margins (%)	20.1%	20.0%	19.8%	21.8%	22.8%	18.8%	20.6%	21.4%	18.9%	22.7%	23.8%	17.8%
EPS (NT\$)	\$1.53	\$1.50	\$1.53	\$1.83	\$1.93	\$1.55	\$6.55	\$6.72	\$5.86	\$10.60	\$9.97	\$6.95

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 2: Our 2027-28 earnings are 12-61% above consensus as we model a higher sales growth and GMs

Vanguard 2026-28 estimates BofAe vs. Street

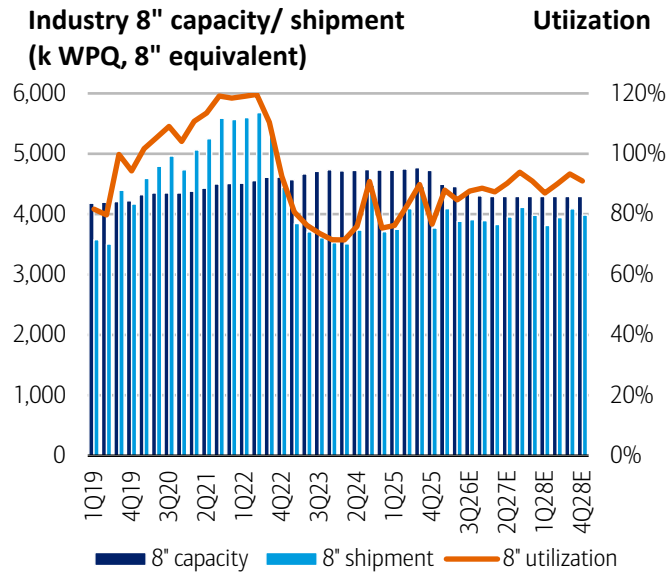
	2026E				2027E				2028E			
	BofAe	Old	Street	vs. street	BofAe	Old	Street	vs. street	BofAe	Old	Street	vs. street
Sales (NT\$m)	\$59,462	\$60,227	\$58,283	2%	\$87,157	\$80,662	\$73,705	18%	\$106,212	\$90,972	\$95,699	11%
Sales QoQ / YoY (%)	22.4%	23.9%	19.9%		46.6%	33.9%	26.5%		21.9%	12.8%	29.8%	
Gross profit (NT\$m)	\$19,455	\$20,087	\$18,525	5%	\$31,330	\$29,371	\$22,428	40%	\$41,316	\$30,930	\$30,069	37%
GMs (%)	32.7%	33.4%	31.8%	1%	35.9%	36.4%	30.4%	6%	38.9%	34.0%	31.4%	7%
Operating profit (NT\$m)	\$12,332	\$13,143	\$11,668	6%	\$20,924	\$20,272	\$14,689	42%	\$29,197	\$21,337	\$19,976	46%
OpMs (%)	20.7%	21.8%	20.0%	1%	24.0%	25.1%	19.9%	4%	27.5%	23.5%	20.9%	7%
Pretax profit (NT\$m)	\$13,728	\$14,499	\$12,920	6%	\$22,347	\$21,630	\$15,837	41%	\$30,693	\$22,765	\$20,729	48%
Pretax margins (%)	23.1%	24.1%	22.2%	1%	25.6%	26.8%	21.5%	4%	28.9%	25.0%	21.7%	7%
Tax expense (NT\$m)	-\$1,498	-\$1,582	-\$1,906	-21%	-\$2,556	-\$2,463	-\$2,741	-7%	-\$3,613	-\$2,670	-\$3,881	-7%
Tax rate (%)	10.9%	10.9%	14.8%	-4%	11.4%	11.4%	17.3%	-6%	11.8%	11.7%	18.7%	-7%
Net profit (NT\$m)	\$12,230	\$12,917	\$11,014	11%	\$19,791	\$19,168	\$13,095	51%	\$27,080	\$20,095	\$16,849	61%
Net margins (%)	20.6%	21.4%	18.9%	2%	22.7%	23.8%	17.8%	5%	25.5%	22.1%	17.6%	8%
EPS (NT\$)	\$6.55	\$6.72	\$5.86	12%	\$10.60	\$9.97	\$6.95	52%	\$14.50	\$10.46	\$9.02	61%

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 3: Industry 8" supply/demand and utilization

We forecast 8" utilization to recover to 85%+ levels

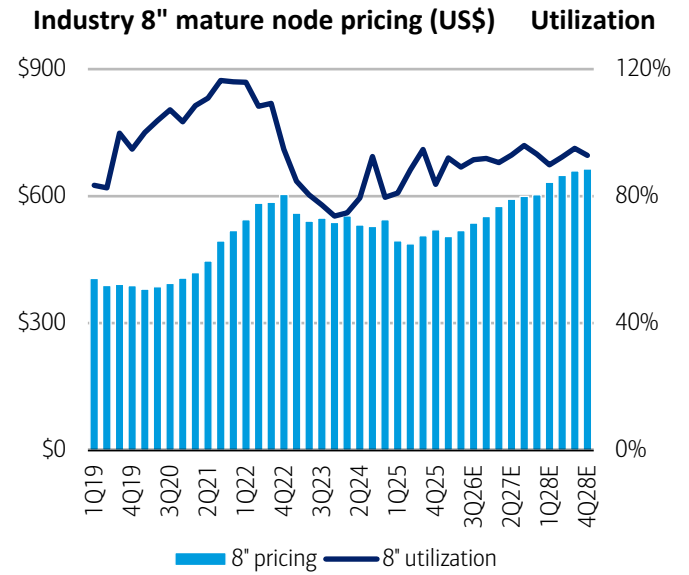


Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 4: Industry 8" pricing and utilization

8" pricing to see uptrend



Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Price objective basis & risk

Vanguard International Semiconductor Co (VGILF)

Our PO NT\$210 is based on 20x 2027E P/E. The multiple is slightly below the midpoint of Vanguard's historical range of 10-32x. In our view, it is to reflect both 1) depreciation associated with Singapore fab, and 2) increasing share in Power IC market and pricing/utilization uptrend.

Upside risks are:

- (1) Stronger-than-expected end market demand for power management IC (PMIC) and/or display driver IC (DDIC)
- (2) Expedited market share gain due to the order shift by customers from China-based foundries.

Downside risks are:

- (1) Higher cost burden if customers demand to move the production base to US and/or Europe
- (2) Slowdown of growth in auto market where the company has 10-20% revenue exposure.

Analyst Certification

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMFV	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLF	6488 TT	Mike Yang
	Hua Hong Semi	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Macronix International	MXICF	2337 TT	Dai Shen
	Maxscend	XMMSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA
RSTR				
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders’ Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders’ Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales
Basic EBIT + Depreciation + Amortization

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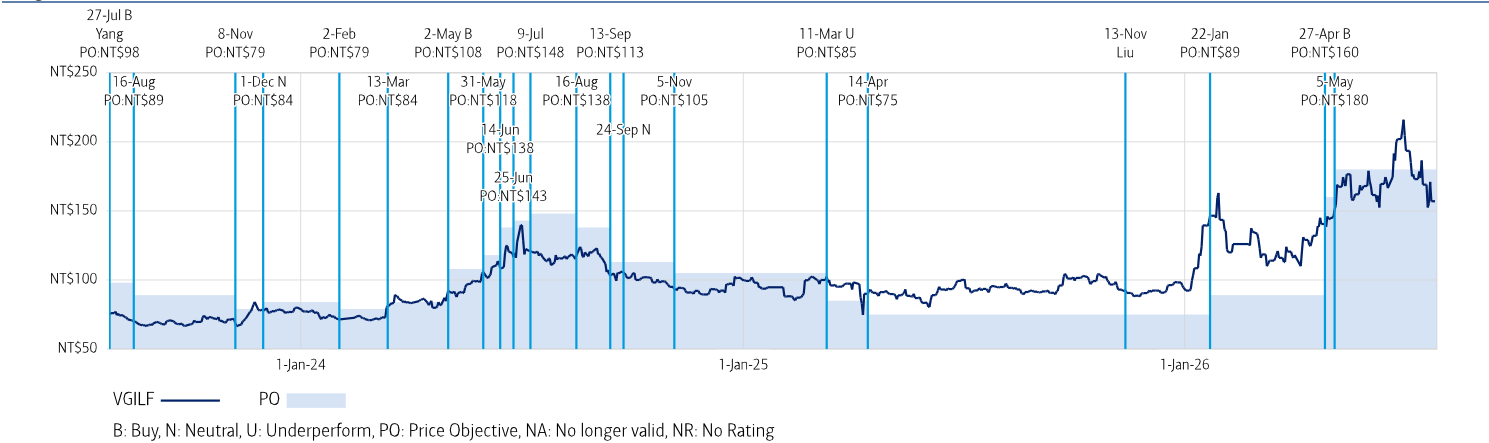
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Vanguard (VIS) (VGILF) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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Underperform	N/A	≥ 20%

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